EXECUTIVE SUMMARY

A. Introduction

Tuguegarao City was originally created on May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An Act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City." R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City Government of Tuguegarao for the year 2021 and was aimed at determining whether management presented fairly the financial statements of the City in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Operational Highlights

The following programs, projects and activities charged under the different sources of funds of Tuguegarao City, Cagayan were completed in CY 2021:

Programs/Projects/Activities	**Total Cost Incurred**
Completion of Tuguegarao City Urban Health Center, Brgy. San Gabriel	P7,880,000.00
Concreting of Road along Carag Street, Brgy. Carig Sur	2,755,446.28
Concreting of Road along Marallag Street Extension, Brgy. Gosi Norte	2,030,866.66
Concreting of Road along Gunnacao and Melad Streets, Brgy. Cataggaman Viejo	6,038,242.48
Construction of Tuguegarao City Auction Market (Completion), Brgy. Gosi Norte	5,438,471.03
Installation of Streetlights along Rizal corner Gomez Streets	1,980,654.91
Construction of Masonry Drainage Structure at CAGELCO Village, Brgy. Pallua Sur	1,426,486.16
Construction of Masonry Drainage Structure at Arao Street Extension, Brgy. Ugac Sur	2,540,086.60
Construction of Masonry Drainage Structure at Magora Street, Brgy. Libag Norte	1,108,154.36
Installation of Streetlights along Campos Street (College Ave.-Cabalza Street)	5,923,554.88
Concreting of Road along Escobar Street, Brgy. Pallua Sur	995,523.86
Construction of Masonry Drainage Structure at San Roque	1,649,833.75

Street (Diversion Road), Brgy. Pengue-Ruyu	
Construction of Masonry Drainage Structure at Melad Street, Brgy. Cataggaman Pardo	1,227,284.26
Construction of Masonry Drainage Structure at Ballad Street, Brgy. Libag Norte	1,296,425.54
Construction of Greenhouse (3 Span, Saw-Tooth Greenhouse, 18mx16m) with Automated Hydroponics System at Demo Farm, Brgy. Gosi Norte	1,890,803.65
Construction of Masonry Drainage Structure at Narra Street, Brgy. Capatan	994,128.62
Construction of Masonry Drainage Structure at Kamias Street, Brgy. Tanza	1,771,557.12
Construction of Masonry Drainage Structure at Kingfisher and Parrot Streets, Brgy. San Gabriel	3,018,214.75
Concreting of Road along Escobar Street, Brgy. Pallua Sur	1,601,921.00
Maintenance of Roads (Asphalt Overlay) along Del Rosario Street (Lecaros St.-College Avenue)	16,601,921.00
Maintenance of Roads (Asphalt Overlay) along Magallanes Street, (Lecaros Street-Legaspi Street)	14,185,000.00
Concreting of Road along Dunkin Drive Street, Brgy. Caggay	891,169.69
Concreting of Road along Macababbad Street, Brgy. Linao Norte	2,116,035.32
Construction of Masonry Drainage Structure at City Homes, Brgy. San Gabriel	3,884,787.31
Concreting of Mercedes Village Road, Brgy. Leonarda	1,719,451.92
Covid Plans, Projects and Activities (Repair and Maintenance of Covid Facilities) at Cagayan National High School	1,368,750.00
Covid Plans, Projects and Activities (Repair and Maintenance of Covid Facilities) at Tuguegarao City Science High School	1,350,000.00
Repair of DOST Building at Cagayan National High School	1,084,560.70
Maintenance & Equipage of DRRM Multi – Purpose Emergency Command Center	20,240,000.00
Supply and Delivery of Two (2) Units Reconditioned Tactical Rescue Truck	4,990,000.00
Supply and Delivery of Two (2) Units Garbage Compactor	9,990,000.00
Procurement of Module Type LED Luminaire of Street Lights (Repair and Maintenance of Infrastructure Assets)	4,995,000.00
Procurement of I.T and Communication Equipment	7,688,850.00
TOTAL	**P142,673,181.85**

C. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the City Government of Tuguegarao for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Accounts	2021	2020	Increase/ (Decrease)
Financial Condition			
Assets	P3,949,804,305.31	P3,744,065,734.93	P205,738,570.38
Liabilities	807,761,506.48	587,306,705.41	220,454,801.07
Government Equity	3,142,042,798.83	P3,156,759,029.52	(P14,716,230.69)
Results of Operation			
Income	P1,158,279,956.23	P1,126,713,464.15	P 31,566,492.08
Expense	1,040,447,915.13	922,982,709.81	117,465,205.32
Net Income	P 117,832,041.10	P 203,730,754.34	(P85,898,713.24)
Appropriations, Allotments and Obligations			
Appropriations – Current	P1,731,649,936.00	P1,251,278,635.51	P 480,371,300.49
Allotments – Current	1,731,649,936.00	1,251,278,635.51	480,371,300.49
Allotments – Continuing	2,413,608,676.88	811,272,069.54	1,602,336,607.34
Obligations – Current	1,042,668,156.87	921,006,953.56	121,661,203.31
Obligations – Continuing	1,328,755,086.19	225,230,517.15	1,103,524,569.04

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2021, with comparative figures for CY 2020 are shown below:

	2021	2020	Increase / (Decrease)
Funds Received from Other Agencies:			
Due to NGAs	P34,997,492.93	P259,536,028.67	(P224,538,535.74)
Due to LGUs	10,690,181.00	0.00	10,690,181.00
Due to GOCCs	15,079,126.81	22,823,837.06	(7,744,710.25)
Funds Transferred to Other Agencies:			
Due from NGAs	P1,623,708.89	P 1,000,000.00	P623,708.89
Due from LGUs	9,429,719.41	10,371,500.00	(941,780.59)
Due from GOCCs	359,621.63	0.00	359,621.63
Due from NGOs/POs	49,250.00	2,684,933.00	(2,635,683.00)

D. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the City Government of Tuguegarao as of December 31, 2021 due to the following:

1. The balance of the Other Receivables Account amounting to P6,198,896.24 as of December 31, 2021 includes collectibles from various recipients or debtors amounting to P4,838,241.24 or 78.05% that have been outstanding for more than 10 years and no sufficient data is available to cause the collection, rendering the reliability of the balance of said account and other related accounts doubtful;

2. 17 titled lots in the name of the City with an area of 157,108 square meters were not yet recorded in its books, resulting in the understatement of the Land Account presented in the financial statements as of December 31, 2021;

3. The correctness, accuracy and existence of the recorded Property, Plant and Equipment Accounts, with a net book value of P2,155,779,622.96 as of December 31, 2021 could not be ascertained due to Management's failure to conduct complete physical inventory of its PPE;

4. Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by concerned departments, thus the correctness of the balance of Road Networks account amounting to P474,337,255.28 as of December 31, 2021 could not be ascertained.

5. Various infrastructure asset accounts, which are carried in the Statement of Financial Position as of December 31, 2021 at P948,693,939.23, were not provided with an allowance for depreciation for CY 2021, thus these asset accounts were not properly valuated in the financial statements and the surplus/net income are overstated by an amount equivalent to the depreciation expense that should have been recorded for these assets;

E. Summary of Significant Findings and Recommendations

1. **The preparation and submission of the City's Bank Reconciliation Statements (BRS) were delayed, which is not in consonance with Section 3.2 of COA Circular No. 96-011 dated October 2, 1996, the balances of the Cash in Bank accounts in the total amount of P743,967,638.42 as of December 31, 2021 as presented in the books were not immediately reconciled and verified by the City Accounting Office, thus affecting the reliability and accuracy of the related accounts.**

   We recommended that the City Accounting Office regularly monitor the preparation of the Bank Reconciliation Statements by the personnel in-charge and determine

causes of delay so that this can be addressed immediately, thus ensuring the timely preparation and submission of the said reports.

The personnel in-charge should immediately request at the end of the month the bank statements, paid checks, debit and credit memos from the banks to ensure availability of the documents needed in the preparation of the BRS. This will ensure its timely submission to the Audit Team and other concerned offices in strict compliance with Item 3.2 of COA Circular No. 96-011 dated October 2, 1996.

2. **Several parcels of land with an area of at least 33,507 square meters and an estimated book value of P48,626,641.28 are still without titles or proofs of ownership by the City, thereby exposing it to the risk that these properties may be subject to disputes or claims by other parties.**

   Moreover, some titled lots in the name of the City were not yet recorded in its books, resulting in the understatement of the Land account presented in the financial statements as of December 31, 2021.

   We recommended that Management:

   a. exert efforts to locate all necessary documents of sites which were donated and acquired through purchase and pursue the titling in the name of the City Government of Tuguegarao; and

   b. ascertain the value of the lands already in the name of the City Government that are not yet recorded and record the same in the books of accounts of the City.

3. **The correctness, accuracy and existence of the recorded Property, Plant and Equipment Accounts, with a net book value of ₱2,155,779,622.96 as of December 31, 2021 could not be ascertained due to Management's failure to conduct complete physical inventory of its PPE, which is not in accord with Section 226 of Volume I of the Government Accounting Manual for Local Government Units.**

   We recommended that the Local Chief Executive require the Inventory Committee to conduct physical inventory of all the PPE of the LGU and thereafter, prepare an inventory report, i.e. the RPCPPE, a copy of which be submitted to the Office of the Auditor. The inventory report shall be reconciled with the PPE records or ledgers maintained at the Accounting Office and any discrepancy/ies should be adjusted.

4. **Disbursement vouchers paid to Villa Blanca Hotel for the payment of hotel accommodation in the amount of P3,194,531.25 were not supported with the certified list of frontline workers from the Tuguegarao City Peoples General Hospital, which is not in accord with Section 4(6) of PD No. 1445, thereby casting doubt on the accuracy of the amount claimed and paid to the hotel.**

Moreover, the required list of names of individuals accommodated in the hotel quarantine facilities and the statement of account for the claim of D128 Lodge amounting to P278,400.00 in CY 2020 were still not submitted to the Audit Team for verification.

We recommended that the Management secure from the Tuguegarao City Peoples General Hospital the certified list of frontline workers who were accommodated in Villa Blanca Hotel to ensure validity and propriety on the payment hotel accommodation in the amount of P3,194,531.25, and submit the same to COA for audit purposes.

Likewise, we requested the immediate submission of the required list of names and the statement of account to support the claim of D128 Lodge in the amount of P278,400.00. Otherwise, these transactions shall be suspended in audit.

5. **Disbursements totaling P11,703,368.08 for various projects of the City were not supported with complete documentary requirements as prescribed under applicable provisions of COA Circular No. 2012-001 dated June 14, 2012 and the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184, thus, the validity and propriety of the transactions could not be ascertained.**

   We recommended that the City Accounting Office ensure that all payments to be made for the procurement of goods and infrastructure projects through alternative modes are supported with the documentary requirements prescribed under applicable provisions of COA Circular No. 2012-001 and the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184.

   Further, we recommended that the lacking documents be submitted immediately to facilitate the review of the aforementioned transactions.

F. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P264,789.14	P83,305,489.76	P79,965,899.23	P3,604,379.67	95.69%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P264,789.14	P83,305,489.76	P79,965,899.23	3,604,379.67	95.69%
Disallowances					
Prior Years	P14,268,074.61	P0.00	P8,738,021.16	P5,530,053.45	61.25%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P14,268,074.61	P0.00	P8,738,021.16	P5,530,053.45	61.25%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

Disallowances totaling P4,620,330.30 are on appeal with the Commission on Audit.

G. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2020 Annual Audit Report are summarized as follows:

Implemented	20
Not implemented	1
Not implemented and reiterated in CY 2021 AAR	9
Total	30